

## 26TRCV00321 26TRCV00321

County: los-angeles

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Case Number: 26TRCV00321 Hearing Date: June 29, 2026 Dept: 5

Superior Court of California

County of Los Angeles – SOUTHWEST District

Department

5

ANWAAR HUSEIN

;

Plaintiff,

vs.

PIPER MORETTI

, et al.;

Defendants.

Case

No.:

26TRCV00321

Hearing

Date:

June  
29, 2026

Time:

8:30 a.m.

[tentative]

Order RE:

(1) CROSS-DEFENDANT GUARANTY ESCROW, INC.'S DEMURRER TO FIRST AMENDED  
CROSS-COMPLAINT

(2) CROSS-COMPLAINANT WHITNEY PIPER MORETTI DBA CRYPTO REALTY GROUP'S  
REQUEST FOR LEAVE TO AMEND

MOVING PARTY: Cross-Defendant, Guaranty  
Escrow, Inc.

RESPONDING PARTY: Cross-Complainant, Whitney Piper Moretti  
dba Crypto Realty Group

(1)

Cross-Defendant Guaranty

Escrow, Inc.'s Demurrer to First Amended Cross-Complaint is SUSTAINED with  
respect to the first cause of action and OVERRULED with respect to the second  
and third causes of action pursuant to Code of Civil Procedure section 430.10.

(2)

Cross-Complainant

Whitney Piper Moretti dba Crypto Realty

Group is GRANTED twenty (20) days Leave to Amend.

The Court considers the moving  
papers filed on May 26, 2026, the opposition brief filed on June 16, 2026, and the  
reply brief filed on June 22, 2026.

BACKGROUND

## Factual Background

On January 28, 2026, plaintiff Anwaar Husein ("Plaintiff") filed the Complaint against defendants Piper Moretti, the Crypto Realty Group, and DOES 1 through 50. The Complaint includes the following causes of action: (1) Negligence; (2) Professional Negligence; (3) Negligent Misrepresentation; (4) Breach of Fiduciary Duty; (5) Fraud by Concealment; (6) Negligence Per Se; and (7) Unfair Business Practices.

On March 3, 2026, cross-complainant Whitney Piper Moretti dba Crypto Realty Group ("Cross-Complainant") filed the Cross-Complaint against cross-defendant Guaranty Escrow, Inc. ("Cross-Defendant") and ROES 1 through 50.

On April 14, 2026, Cross-Defendant's counsel emailed Cross-Complainant's counsel to discuss a potential demurrer. (Declaration of Matthew S. Davis ("Davis Decl."), ¶ 2.) Following this, on April 15 and 20, 2026, the counsels for both parties engaged in further discussions, ultimately reaching an agreement to file an amended pleading. (Davis Decl., ¶ 2.)

On April 20, 2026, Cross-Complainant provided Cross-Defendant with a copy of the First Amended Cross-Complaint ("FAXC"). (Davis Decl., ¶ 3.) The parties continued their discussions regarding the alleged deficiencies in the FAXC, but they were unable to reach an agreement. (Davis Decl., ¶ 3.) Consequently, Cross-Complainant's counsel instructed Cross-Defendant to file a demurrer. (Davis Decl., ¶ 3.)

On April 21, 2026, Cross-Complainant filed the FAXC against Cross-Defendant and ROES 1 through 50. The Cross-Complaint includes the following causes of action: (1) Implied Indemnity; (2) Contribution; and (3) Declaratory Relief.

## REQUEST FOR JUDICIAL NOTICE

Filed concurrently with its reply papers, Cross-Defendant has filed a Request for Judicial Notice ("RJN"), requesting this Court take judicial notice of:

1.

Escrow

Agreement, Exhibit A.

The Court GRANTS this request. The Court takes judicial notice of this document as “[f]acts and propositions that are not reasonably subject to dispute and are capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy[.]” in accordance with Evidence Code section 452, subdivision (h).

However, the Court will not take judicial notice of the truth of the matters presented in these documents since they are subject to interpretation. (See *L.B. Research & Education Foundation v. UCLA Foundation* (2005) 130 Cal.App.4th 171, 180, fn. 2, citing *Comings v. State Bd. of Education* (1972) 23 Cal.App.3d 94.)

#### LEGAL STANDARD

A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) “To survive a demurrer, the complaint need only allege facts sufficient to state a cause of action; each evidentiary fact that might eventually form part of the plaintiff’s proof need not be alleged.” (*C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872.) For the purpose of testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded. (*Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 966-967.) A demurrer “does not admit contentions, deductions or conclusions of fact or law.” (*Daar v. Yellow Cab Co.* (1967) 67 Cal.2d 695, 713.)

A pleading is uncertain if it is ambiguous or unintelligible. (Code Civ. Proc., § 430.10, subd. (f).) A demurrer for uncertainty may lie if the failure to label the parties and claims renders the complaint so confusing that the defendant cannot tell what he or she is supposed to respond to. (*Williams v. Beechnut Nutrition Corp.* (1986) 185 Cal.App.3d 135, 139, fn. 2.) However, “[a] demurrer for uncertainty is

strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.)

#### MEET AND CONFER REQUIREMENT

Before filing a demurrer, the moving party is required to meet and confer in person, by telephone, or via video conference with the party who filed the pleading that is subject to the motion, to determine whether an agreement can be reached that would resolve the objections to be raised in the demurrer or motion to strike. (Code Civ. Proc., § 430.41, subd. (a).) The parties are to meet and confer at least five days before the date the responsive pleading is due. (Code Civ. Proc., § 430.41, subd. (a)(2).) Thereafter, the moving party shall file and serve a declaration detailing their meet and confer efforts. (Code Civ. Proc., § 430.41, subd. (a)(3).) A determination by the court that the meet and confer process was inadequate shall not be grounds to overrule or sustain a demurrer. (Code Civil Proc., § 430.41, subd. (a)(4).)

On April 14, 2026, Cross-Defendant's counsel emailed Cross-Complainant's counsel to discuss a potential demurrer. (Davis Decl., ¶ 2.) Following this, on April 15 and 20, 2026, the counsels for both parties engaged in further discussions, ultimately reaching an agreement to file an amended pleading. (Davis Decl., ¶ 2.)

On April 20, 2026, Cross-Complainant provided Cross-Defendant with a copy of the FAXC. (Davis Decl., ¶ 3.) The parties continued their discussions regarding the alleged deficiencies in the FAXC, but they were unable to reach an agreement. (Davis Decl., ¶ 3.) Consequently, Cross-Complainant's counsel instructed Cross-Defendant to file a demurrer. (Davis Decl., ¶ 3.)

Consequently, the Court finds that Cross-Defendant sufficiently met and conferred with Cross-Complainant prior to filing this demurrer.

#### DISCUSSION

The

## Entire First Amended Cross-Complaint

Cross-Defendant demurs to the entirety of the FAXC on independent grounds, contending that (1) Cross-Complainant does not plead escrow instructions, and (2) Cross-Complainant fails to allege essential facts, such as the specific escrow instructions that were breached, any act or omission by Cross-Defendant related to Plaintiff's loss, any receipt or mishandling of funds, or any legal theory through which Cross-Defendant's conduct caused Plaintiff's damages.

(Dem., pp. 8:17-9:8.)

However, Cross-Defendant does not present a legal analysis demonstrating that Cross-Complainant is required to include these allegations for its causes of action to survive the demurrer. Instead, Cross-Defendant relies solely on *Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 125, to assert that "the Court may sustain a demurrer where a pleading omits facts essential to establishing a legal duty" and that "[c]onclusory allegations and bare legal assertions do not satisfy California pleading requirements." (Dem., pp. 8:19-20, 9:7-8.)

The Court recognizes that complainants are required to assert legal duties in certain causes of action, and that conclusory allegations typically do not meet the necessary pleading standards. However, Cross-Defendant does not adequately explain how these principles warrant the Court's decision to sustain the demurrer for each distinct cause of action. Consequently, the Court finds the arguments presented to be unpersuasive.

## First Cause of Action – Implied Indemnity

Cross-Defendant demurs to the first cause of action for implied indemnity on the grounds that (1) "Plaintiff's operative complaint alleged no escrow misconduct [;]" (2) Cross-Complainant fails to demonstrate that Cross-Defendant owed any legally cognizable duty to Plaintiff; and (3) Cross-Complainant does not assert that it has incurred any loss or damages through payment. (Dem., pp. 5:18-6:24, 7:8-25.)

" 'The elements of a cause of action for indemnity are (1) a showing of fault on the part of the indemnitor

and (2) resulting damages to the indemnitee for which the indemnitor is ... equitably responsible.' " (Bailey v. Safeway, Inc. (2011) 199 Cal.App.4th 206, 217, quoting Expressions at Rancho Niguel Ass'n v. Ahmanson Developments, Inc. (2001) 86 Cal.App.4th 1135, 1139.)

"Although the body of law defining and applying principles of equitable indemnity has not fully gelled but is still evolving, one thing is clear: The doctrine applies only among defendants who are jointly and severally liable to the plaintiff. [Citation.] As plaintiff maintains, joint and several liability in the context of equitable indemnity is fairly expansive. We agree it is not limited to the old common term joint tortfeasor.... It can apply to acts that are concurrent or successive, joint or several, as long as they create a detriment caused by several actors. [Citation.] ¶ One factor is necessary, however. With limited exception, there must be some basis for tort liability against the proposed indemnitor. [Citation.] Generally, it is based on a duty owed to the underlying plaintiff [citations], although vicarious liability [citation] and strict liability [citation] also may sustain application of equitable indemnity. In addition, implied contractual indemnity between the indemnitor and the indemnitee can provide a basis for equitable indemnity. [Citation.]" (BRGC Architects Planners, Inc. v. Forcum/Mackey Construction, Inc. (2004) 119 Cal.App.4th 848, 852, internal citations and quotations omitted.)

"An escrow holder is an agent and fiduciary of the parties to the escrow. [Citations.] The agency created by the escrow is limited—limited to the obligation of the escrow holder to carry out the instructions of each of the parties to the escrow. [Citations.] ... [A]n escrow holder has no general duty to police the affairs of its depositors; rather, an escrow holder's obligations are limited to faithful compliance with [the depositors'] instructions. [Citations.] Absent clear evidence of fraud, an escrow holder's obligations are limited to compliance with the parties' instructions. [Citation.]" (Summit Financial Holdings, Ltd. v. Continental Lawyers Title Co. (2002) 27 Cal.4th 702, 711, internal citations and quotations omitted.)

Here, Cross-Complainant does not allege that Cross-Defendant, as an escrow holder, owed any legal duty based on the instructions from the parties involved in the escrow. (FAXC, ¶ 9.) Instead, Cross-Complainant asserts: “Preventing wire fraud in real estate transactions is handled by escrow companies, which are responsible for securely providing and verifying payment instructions. Industry practices include providing wire fraud advisories and requiring buyers to confirm wiring instructions directly with escrow before sending funds.” (FAXC, ¶ 9.)

Furthermore, Cross-Complainant claims, “Verifying the accuracy of wiring instructions is the responsibility of the escrow company, which handles the transfer of funds in a real estate transaction.” (FAXC, ¶ 10.) Yet, none of these assertions adequately establish that Cross-Defendant owed a duty to Plaintiff under the escrow instructions. In the absence of such allegations, there is no basis for indemnity.

Moreover, Cross-Complainant attempts to circumvent this requirement by stating that Cross-Defendant “actively participated in the same transaction and bears responsibility—whether in whole or in part—for Plaintiff’s alleged damages.” (Opp., p. 3:6-7.) However, without an established duty, the nature of Cross-Defendant’s participation in the transaction is irrelevant. Cross-Defendant must have a duty to Plaintiff for the Cross-Complainant to pursue indemnity from the escrow holder. Cross-Complainant has not successfully demonstrated the existence of any such duty.

Lastly, Cross-Complainant references *Paragon Real Estate Group of San Francisco, Inc. v. Hansen* (2009) 178 Cal.App.4th 177 and *Leko v. Cornerstone Building Inspection Service* (2001) 86 Cal.App.4th 1109 to support the assertion that “cross-complaints for equitable indemnity are strongly favored based on policy reasons and fairness.” (Opp., p. 4:17-18.) But this argument does not negate the necessity for a duty. Also, neither case addresses the duties owed by escrow holders, raising questions about their relevance.

As such, the Cross-Defendant’s

demurrer with respect to the first cause of action for implied indemnity is SUSTAINED.

#### Second Cause of Action – Contribution

Cross-Defendant demurs to the second cause of action for contribution on the grounds that (1) “[c]ontribution under Code of Civil Procedure section 875 requires that the parties be joint tortfeasors[.]” and (2) “contribution claims are not available because under the law there must first be a loss through payment of a judgment or settlement.” (Dem., pp. 6:26-27, 7:12-14.)

Initially, Cross-Defendant contends that “[c]ontribution under Code of Civil Procedure section 875 requires that the parties be joint tortfeasors[.]” citing *American Motorcycle Assn. v. Superior Court* (1978) 20 Cal.3d 578, 591, and *Children's Hospital v. Sedgwick* (1996) 45 Cal.App.4th 1780. (Dem., p. 6:26-27; Reply, p. 8:19-20.) Consequently, Cross-Defendant claims that Plaintiff's failure to allege that Cross-Defendant is a tortfeasor, to seek recovery from Cross-Defendant, or to assert that Cross-Defendant owed a duty to Plaintiff invalidates Cross-Complainant's claim for contribution. (Dem., pp. 6:28-7:7.) The assertion is flawed.

First, *American Motorcycle Assn. v. Superior Court* (1978) 20 Cal.3d 578, 591, does not support the assertion that contribution under Code of Civil Procedure section 875 requires the parties to be joint tortfeasors, nor does it address section 875. Additionally, *Children's Hospital v. Sedgwick* (1996) 45 Cal.App.4th 1780 similarly does not discuss Code of Civil Procedure section 875. Second, even if the Court were to entertain the proposition that these citations establish the necessity of joint tortfeasors for contribution under section 875, this would not imply that Plaintiff's omission of specific allegations in the Complaint precludes Cross-Complainant from filing a contribution claim against Cross-Defendant. Cross-Defendant has failed to provide any legal precedents to substantiate this argument.

Cross-Defendant's second argument is similarly unconvincing. Cross-Defendant contends that “contribution claims are not available because under the law there must first be a loss through payment of a judgment or settlement” under Code of Civil Procedure section 875, subdivision (c), *Christian v. County of Los Angeles* (1986) 176 Cal.App.3d 466, 471, *E. L. White, Inc. v. City of*

Huntington Beach (1978) 21 Cal.3d 497, 506, and Boyajian v. Ordoubadi (2010) 184 Cal.App.4th 1020, 1027. (Dem., pp. 7:12-22.) However, neither the statute nor the relevant case law substantiates this assertion.

According to Code of Civil

Procedure section 875, subdivision (c): "Such right of contribution may be enforced only after one tortfeasor has, by payment, discharged the joint judgment or has paid more than his pro rata share thereof. It shall be limited to the excess so paid over the pro rata share of the person so paying and in no event shall any tortfeasor be compelled to make contribution beyond his own pro rata share of the entire judgment." Therefore, while the right to enforce contribution may not arise until these conditions are satisfied, Code of Civil Procedure section 875, subdivision (c), does not inhibit Cross-Complainant from asserting this claim in the Cross-Complaint.

Christian v. County of Los

Angeles (1986) 176 Cal.App.3d 466, 471, does not address contribution.

In E. L. White, Inc. v. City of Huntington Beach (1978) 21 Cal.3d 497, 506, the Supreme Court stated that "[i]t is well settled that a cause of action for implied indemnity does not accrue or come into existence until the indemnitee has suffered actual loss through payment." However, this principle was not applied to contribution claims. Similarly, the Court of Appeal in Boyajian v. Ordoubadi (2010) 184 Cal.App.4th 1020, 1027, determined that "a cause of action for equitable indemnity does not exist until the underlying loss is paid[.]" yet this rule was not extended to contribution claims.

As such, the Cross-Defendant's demurrer with respect to the second cause of action for contribution is OVERRULED.

Third Cause of Action – Declaratory Relief

Cross-Defendant demurs to the third cause of action for declaratory relief, contending that "[b]ecause the indemnity and contribution claims fail, there is no actual, justiciable controversy to support declaratory relief." (Dem., p. 8:14-15.)

“The rule that a complaint is to be liberally construed is particularly applicable to one for declaratory relief. (Citation.) It is the general rule that in an action for declaratory relief the complaint is sufficient if it sets forth facts showing the existence of an actual controversy relating to the legal rights and duties of the respective parties and requests that the rights and duties be adjudged. If these requirements are met, the court must declare the rights of the parties whether or not the facts alleged establish that the plaintiff is entitled to a favorable declaration. (Citation.) [Citation.]” (Jefferson, Inc. v. City of Torrance (1968) 266 Cal.App.2d 300, 302, internal citations and quotations omitted.)

“Although Plaintiffs also sought declaratory relief, the trial court correctly concluded that such relief was inappropriate. Declaratory relief operates prospectively to declare future rights, rather than to redress past wrongs.” (Canova v. Trustees of Imperial Irrigation Dist. Employee Pension Plan (2007) 150 Cal.App.4th 1487, 1497.)

Cross-Defendant asserts that since the indemnity and contribution claims have failed, there is no actual justiciable controversy to support a claim for declaratory relief. (Dem., p. 8:14-15.) However, as Cross-Complainant's claim for contribution remains, so too does its claim for declaratory relief.

As such, the Cross-Defendant's demurrer with respect to the third cause of action for declaratory relief is OVERRULED.

In this case, Cross-Complainant has not shown a reasonable possibility of successfully amending its claim. Thus, the Court will not grant leave to amend unless, during the hearing, Cross-Complainant can prove that there is a reasonable possibility of addressing the issue discussed in this ruling.

#### ORDERS

1)  
Cross- Defendant

Guaranty Escrow, Inc.'s Demurrer to First Amended Cross-Complaint is SUSTAINED with respect to the first cause of action and OVERRULED with respect to the second and third causes of action.

2)

Cross-Complainant

Whitney Piper Moretti dba Crypto Realty Group's is GRANTED twenty (20) days Leave to Amend.

3)

Cross-Defendant is ordered to give notice of this Court's ruling.

IT IS SO ORDERED.

DATED: June 29, 2026

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Tamara  
Hall

Judge  
of the Superior Court